Case Study: Land Sale Scenario Modeling for The Avenue in Allen

A date-driven exit analysis and fundraising model for a 53-acre Texas land development.

At a glance

We partnered with a Texas land developer to build a comprehensive Excel proforma for a 53-acre, 21-lot residential land development in Allen, Texas. The model evaluates four distinct exit scenarios, each driven by sale timing, capital structure, and income type, producing investor-ready return metrics and a clear capital stack narrative for both internal planning and active third-party fundraising.

Key metrics

PROJECT SCOPE
21 entitled lots across 53.03 acres.

4 EXIT SCENARIOS
Dynamic modeling for bulk, lot-by-lot, and varied income paths.

CAPITAL SETUP
~$16.0M required equity with multi-tranche debt structuring.

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CHALLENGES

The client needed a sophisticated financial model to evaluate multiple exit strategies for a 53-acre entitled residential project. Four distinct sale scenarios were required, each driven by different timing, income structures, and capital assumptions. Furthermore, the model had to integrate a complex multi-tranche capital stack, including equity, a mezzanine loan, a bridge loan, and an optional $48M refinance facility, while accurately computing equity multiples and net profit from closing to support active fundraising.

SOLUTIONS

We built a fully dynamic Excel proforma from the ground up, integrating scenario-driven cash flow logic with a unified capital model. The model toggles between all four exit scenarios using a single selector cell, instantly recalculating all return metrics, cash flows, and capital distributions. To ensure complete clarity for investors, two parallel versions, a no-refinance structure and a with-refinance structure, are modeled side by side for seamless comparison.

Scenario-Driven Proforma

Capital Stack Structuring

Exit & Return Analysis

BENEFITS

1

Four-Scenario Exit Flexibility

Modeled four complete exit paths (base lot-by-lot, bulk sale, vertical income, and incentive income), each featuring a full waterfall. All scenarios toggle from a single switch, making the model instantly presentable to investors and lenders.

2

Dual Capital Stack Comparison

Built parallel models for the no-refinance and $48M refinance structures, clearly quantifying the trade-off: the refinance adds ~$3.6M in costs but provides critical mid-project liquidity by retiring the bridge loan before the sale period begins.

3

Investor-Ready Return Package

Delivered a fundraising-grade output with clearly separated levered and unlevered metrics. The active scenario showcases a 2.24x levered equity multiple and $25.8M net levered profit on $16.0M of equity, structured perfectly for clean LP/GP reporting.